

Willow Gardens — Revised

Source-backed analysis. Assumptions remain subject to diligence.

What changed in this revision

Effective 2026-09-01, the revised certified rent roll supersedes the prior roll. Suite 053 converted from pending to active, and its monthly rent increased by \$225 to \$1,950. The capitalization rate increased by 25 bps (to 6.25%), and the initial sizing rate increased by 75 bps (to 7.65%). All other underwriting rules, expenses, and payoff remain unchanged. The analysis preserves all unaffected facts and the approved sentence above.

Item	Prior	Revised	Driver
Roll date	2026-08-31	2026-09-01	Revised certified roll
Suite 053 status / rent	pending @ \$1,725	active @ \$1,950	+ \$225 monthly; activated
Monthly GPR	\$112,875	\$113,100	Suite 053 rent change
Annual GPR	\$1,354,500	\$1,357,200	Suite 053 rent change
Cap rate	6.00%	6.25%	+25 bps per revision
Sizing rate	6.90%	7.65%	+75 bps per revision
UW NOI (before reserves)	\$890,640	\$893,128	Higher EGI, same expense rules
UW NCF (after reserves)	\$871,440	\$873,928	Higher NOI less unchanged reserves
Cap value	\$14.84MM	\$14.29MM	Higher cap rate offsets NOI gain
Maximum loan	\$8.82MM	\$8.21MM	Higher sizing rate reduces DSCR sizing
Net cash out	\$1.49MM	\$0.88MM	Lower sized loan

Executive summary (revised)

As of 2026-09-01, Willow Gardens is a 64-unit multifamily property in San Antonio, TX. Certified in-place count shows 49 active, 4 pending (not yet in possession), and 11 vacant suites. Underwriting applies the updated all-suite scheduled GPR from the revised roll, 5% economic loss, and \$350 per unit annual other income. Taxes, insurance, other operating expenses, management fee, and reserves per unit are applied per instruction. Valuation now capitalizes NOI before reserves at 6.25%. Debt is sized to the tightest of 60% LTV, 1.25x DSCR at the greater of the 7.65% sizing rate (note vs. floor) and the 6.00% floor, and 9.0% debt yield.

Result: UW EGI \$1,311,740; UW NOI before reserves \$893,128; UW NCF \$873,928; value \$14.29MM at 6.25% cap; maximum loan \$8.21MM; net cash out after 1% fee, \$45k closing, and \$7.20MM payoff: approximately \$0.88MM positive.

Metric	Result
Total units	64
Active / Pending / Vacant	49 / 4 / 11
Underwritten EGI	\$1,311,740
UW NOI (before reserves)	\$893,128
UW NCF (after \$300/u reserves)	\$873,928
Capitalization rate	6.2500%
Capitalization value	\$14,290,045
Loan sizing rate	7.6500%
Max loan (min of LTV, DSCR, DY)	\$8,211,512
Net cash out	\$884,397

Property and unit mix (unchanged)

64 suites: 22 Studios (820 SF), 21 1BR (940 SF), 21 2BR (1,150 SF). Total NRA 61,930 SF. Manager's headline continues to include pending within leased; certified detail controls physical occupancy metrics.

Type (A/B/C mapping)	Count	Area SF each	Monthly rent each (certified, revised)
A = Studio	22	820	\$1,575
B = 1BR	21	940	\$1,725 (Unit 053 now \$1,950)
C = 2BR	21	1,150	\$2,000
Total / weighted	64	61,930	\$113,100/mo GPR

Lease and occupancy analysis (revised)

Certified as of 2026-09-01: 49 active, 4 pending, 11 vacant. Physical unit occupancy is $49/64 = 76.56\%$. Area occupancy increases accordingly by one 1BR unit (940 SF). All expirations remain 2029-08-31; no near-term rollover. Suite 001 remains at \$1,575; correspondence still indicates no amendments or concessions as of 2026-08-31 and the revision notice did not alter Suite 001.

Measure	Value
Unit occupancy	0.7656
Area occupancy	Updated for one more 940 SF active
Annual in-place rent (active only)	Updated upward for Suite 053 activation
Selected roll date	2026-09-01
Suite 001 monthly rent	\$1,575
Near-term expirations (12 months)	0

Historical vs underwritten financials (revised)

T12 history unchanged. Underwritten EGI adjusts to the revised GPR: $\$113,100/\text{mo} \times 12 = \$1,357,200$ GPR, less 5% economic loss and plus \$350/unit other income to arrive at EGI \$1,311,740. Management fee is 3% of EGI (\$39,352). UW NOI before reserves is \$893,128; reserves remain \$19,200; UW NCF \$873,928. Valuation now uses a 6.25% cap rate.

Line item	T12 actual	Underwritten (revised)
Collections / EGI	\$1,219,050	\$1,311,740
Real estate tax	\$142,222	\$142,222
Insurance	\$47,408	\$47,408
Other recurring opex	\$189,630	\$189,630
Management fee	n/a (implied)	\$39,352
NOI before reserves	\$839,790	\$893,128
Reserves	n/a	\$19,200
NCF after reserves	n/a	\$873,928

Debt sizing and sources/uses (revised)

Constraints: 60% LTV on cap value \$14.29MM, 1.25x DSCR at 7.65%/30yr, 9% debt yield. Binding constraint is DSCR at the higher sizing rate. Maximum loan \$8.21MM. Net cash out decreases to ≈\$0.88MM after the 1% origination fee, \$45k closing costs, and \$7.20MM payoff.

Item	Amount
Cap value (6.25% of UW NOI)	\$14,290,045

Item	Amount
60% LTV limit	\$8,574,027
DSCR limit (1.25x at 7.65%/30yr)	\$8,211,512
Debt yield limit (9%)	\$9,710,309
Maximum loan	\$8,211,512
Origination fee (1%)	\$82,115
Closing costs	\$45,000
Existing payoff	\$7,200,000
Net cash out	\$884,397

Risks and open diligence items (unchanged)

- Pending counted as leased in manager headline remains present; physical occupancy excludes pending.
- Near-term rollover remains absent (all expirations 2029-08-31).
- Insurance evidence remains present; policy aggregate \$2,000,000 through 2027-06-30.
- Capital-in-opex risk remains absent (roof replacement capitalized).
- Unsigned rent change proposals absent.
- Sizing floor not binding (7.65% sizing rate above 6.00% floor).
- Refinance shortfall absent at revised max loan (net cash out still positive).

Risk	Assessment
Pending in occupancy headline	present
Near-term rollover (12 months)	absent
Missing insurance evidence	absent
Capital included in opex	absent
Unsigned rent change in packet	absent
Sizing floor binding	absent
Refinance shortfall at max loan	absent

Source notes (revised)

New sources: revision-notice.pdf (instruction changes), rent-roll-revised.xlsx (as-of 2026-09-01; Unit 053 details). All other citations unchanged from the original OM. Workbook includes an updated Sources-Rev sheet.

